RBI - OFFICIAL REGULATORY DIRECTION
Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR)

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Chapter 1: Operational Compliance Guidelines (DOC_016)

Section 1.1 Regulatory Applicability and Supervisory Scope
This section of Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR) (DOC_016) issued by RBI on 2025-04-28 establishes mandatory internal audit controls, board reporting workflows, and Maker-Checker verification gates across all retail and MSME lending branches. Compliance officers must verify that standard operating procedures are aligned with statutory master directions.

Section 1.2 Record Keeping, Audit Trail and Exception Escalation
Branch operations teams shall maintain immutable digital timestamps in the Loan Origination System (LOS) and Loan Management System (LMS). Any policy deviation or operational exception recorded on Page 1 must be ratified by the Risk Management Committee within 15 working days and preserved for supervisory inspection by RBI examiners.

Section 1.3 Periodic Compliance Testing and Attestation
The concurrent audit unit shall sample at least 10 percent of loan dockets originated during each calendar month to validate adherence to the covenants specified in DOC_016.

Chapter 2: Operational Compliance Guidelines (DOC_016)

Section 2.1 Regulatory Applicability and Supervisory Scope

This section of Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR) (DOC_016) issued by RBI on 2025-04-28 establishes mandatory internal audit controls, board reporting workflows, and Maker-Checker verification gates across all retail and MSME lending branches. Compliance officers must verify that standard operating procedures are aligned with statutory master directions.

Section 2.2 Record Keeping, Audit Trail and Exception Escalation

Branch operations teams shall maintain immutable digital timestamps in the Loan Origination System (LOS) and Loan Management System (LMS). Any policy deviation or operational exception recorded on Page 2 must be ratified by the Risk Management Committee within 15 working days and preserved for supervisory inspection by RBI examiners.

Section 2.3 Periodic Compliance Testing and Attestation

The concurrent audit unit shall sample at least 10 percent of loan dockets originated during each calendar month to validate adherence to the covenants specified in DOC_016.

Section 3: KFS Validity Window and All-Inclusive APR Computation

3.1 Minimum Validity Period of Key Facts Statement (KFS)
Every Regulated Entity shall provide a standardized Key Facts Statement (KFS) with a unique proposal reference number to prospective retail and MSME borrowers prior to loan contract execution. The KFS shall have a minimum validity period of at least 3 working days for loans having a tenor of 7 days or more, and 1 working day for loans with a tenor of less than 7 days, allowing the borrower time to compare terms.

3.2 Prohibition on Unquoted Charges Outside KFS
The Annual Percentage Rate (APR) disclosed in the KFS must include all third-party pass-through charges such as insurance premiums, legal verification fees, and processing charges collected by the RE. Any fee or charge not explicitly mentioned in the signed KFS cannot be recovered from the borrower at any stage during the loan lifecycle without explicit written borrower consent.

Chapter 4: Operational Compliance Guidelines (DOC_016)

Section 4.1 Regulatory Applicability and Supervisory Scope

This section of Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR) (DOC_016) issued by RBI on 2025-04-28 establishes mandatory internal audit controls, board reporting workflows, and Maker-Checker verification gates across all retail and MSME lending branches. Compliance officers must verify that standard operating procedures are aligned with statutory master directions.

Section 4.2 Record Keeping, Audit Trail and Exception Escalation

Branch operations teams shall maintain immutable digital timestamps in the Loan Origination System (LOS) and Loan Management System (LMS). Any policy deviation or operational exception recorded on Page 4 must be ratified by the Risk Management Committee within 15 working days and preserved for supervisory inspection by RBI examiners.

Section 4.3 Periodic Compliance Testing and Attestation

The concurrent audit unit shall sample at least 10 percent of loan dockets originated during each calendar month to validate adherence to the covenants specified in DOC_016.

Chapter 5: Operational Compliance Guidelines (DOC_016)

Section 5.1 Regulatory Applicability and Supervisory Scope

This section of Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR) (DOC_016) issued by RBI on 2025-04-28 establishes mandatory internal audit controls, board reporting workflows, and Maker-Checker verifi-
cation gates across all retail and MSME lending branches. Compliance officers must verify that standard operating procedures are aligned with statutory master directions.

Section 5.2 Record Keeping, Audit Trail and Exception Escalation

Branch operations teams shall maintain immutable digital timestamps in the Loan Origination System (LOS) and Loan Management System (LMS). Any policy deviation or operational excep-
tion recorded on Page 5 must be ratified by the Risk Management Committee within 15 working days and preserved for supervisory inspection by RBI examiners.

Section 5.3 Periodic Compliance Testing and Attestation

The concurrent audit unit shall sample at least 10 percent of loan dockets originated during each calendar month to validate adherence to the covenants specified in DOC_016.

Chapter 6: Operational Compliance Guidelines (DOC_016)

Section 6.1 Regulatory Applicability and Supervisory Scope

This section of Circular on Standardized Key Facts Statement (KFS) and Annual Percentage Rate (APR) (DOC_016) issued by RBI on 2025-04-28 establishes mandatory internal audit controls, board reporting workflows, and Maker-Checker verification gates across all retail and MSME lending branches. Compliance officers must verify that standard operating procedures are aligned with statutory master directions.

Section 6.2 Record Keeping, Audit Trail and Exception Escalation

Branch operations teams shall maintain immutable digital timestamps in the Loan Origination System (LOS) and Loan Management System (LMS). Any policy deviation or operational exception recorded on Page 6 must be ratified by the Risk Management Committee within 15 working days and preserved for supervisory inspection by RBI examiners.

Section 6.3 Periodic Compliance Testing and Attestation

The concurrent audit unit shall sample at least 10 percent of loan dockets originated during each calendar month to validate adherence to the covenants specified in DOC_016.